

ADVANCED MICRO DEVICES, INC.**CONDENSED CONSOLIDATED STATEMENTS OF OPERATIONS****(Millions except per share amounts and percentages) (Unaudited)**

	Three Months Ended		
	March 29, 2025	December 28, 2024	March 30, 2024
Net revenue	\$ 7,438	\$ 7,658	\$ 5,473
Cost of sales	3,451	3,524	2,683
Amortization of acquisition-related intangibles	251	252	230
Total cost of sales	3,702	3,776	2,913
Gross profit	3,736	3,882	2,560
Gross margin	50%	51%	47%
Research and development	1,728	1,712	1,525
Marketing, general and administrative	886	781	607
Amortization of acquisition-related intangibles	316	332	392
Restructuring charges	-	186	-
Total operating expenses	2,930	3,011	2,524
Operating income	806	871	36
Interest expense	(20)	(19)	(25)
Other income (expense), net	39	37	53
Income (loss) before income taxes and equity income	825	889	64
Income tax provision (benefit)	123	419	(52)
Equity income in investee	7	12	7
Net income	\$ 709	\$ 482	\$ 123
Earnings per share			
Basic	\$ 0.44	\$ 0.30	\$ 0.08
Diluted	\$ 0.44	\$ 0.29	\$ 0.07
Shares used in per share calculation			
Basic	1,620	1,623	1,617
Diluted	1,626	1,634	1,639

ADVANCED MICRO DEVICES, INC.
CONDENSED CONSOLIDATED BALANCE SHEETS
(Millions)

	<u>March 29, 2025</u>	<u>December 28, 2024</u>
	(Unaudited)	
ASSETS		
Current assets:		
Cash and cash equivalents	\$ 6,049	\$ 3,787
Short-term investments	1,261	1,345
Accounts receivable, net	5,443	6,192
Inventories	6,416	5,734
Prepaid expenses and other current assets	2,426	1,991
Total current assets	<u>21,595</u>	<u>19,049</u>
Property and equipment, net	1,921	1,802
Goodwill	24,839	24,839
Acquisition-related intangibles, net	18,363	18,930
Deferred tax assets	845	688
Other non-current assets	3,987	3,918
Total Assets	<u><u>\$ 71,550</u></u>	<u><u>\$ 69,226</u></u>
LIABILITIES AND STOCKHOLDERS' EQUITY		
Current liabilities:		
Accounts payable	\$ 2,206	\$ 2,466
Accrued liabilities	3,876	4,260
Short-term borrowings	947	-
Other current liabilities	674	555
Total current liabilities	<u>7,703</u>	<u>7,281</u>
Long-term debt	3,217	1,721
Long-term operating lease liabilities	567	491
Deferred tax liabilities	343	349
Other long-term liabilities	1,839	1,816
Stockholders' equity:		
Capital stock:		
Common stock, par value \$0.01	17	17
Additional paid-in capital	61,730	61,362
Treasury stock, at cost	(6,899)	(6,106)
Retained earnings	3,073	2,364
Accumulated other comprehensive loss	(40)	(69)
Total stockholders' equity	<u>57,881</u>	<u>57,568</u>
Total Liabilities and Stockholders' Equity	<u><u>\$ 71,550</u></u>	<u><u>\$ 69,226</u></u>

ADVANCED MICRO DEVICES, INC.
CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS
(Millions) (Unaudited)

	Three Months Ended	
	March 29, 2025	March 30, 2024
Cash flows from operating activities:		
Net income	\$ 709	\$ 123
Adjustments to reconcile net income to net cash provided by operating activities:		
Depreciation and amortization	175	162
Amortization of acquisition-related intangibles	567	622
Stock-based compensation	364	371
Deferred income taxes	(167)	(66)
Inventory loss at contract manufacturer	-	65
Other	39	4
Changes in operating assets and liabilities:		
Accounts receivable, net	748	913
Inventories	(682)	(368)
Prepaid expenses and other assets	(237)	(919)
Accounts payable	(289)	(561)
Accrued and other liabilities	(288)	175
Net cash provided by operating activities	939	521
Cash flows from investing activities:		
Purchases of property and equipment	(212)	(142)
Purchases of short-term investments	(304)	(433)
Proceeds from maturity of short-term investments	365	441
Proceeds from sale of short-term investments	33	2
Purchases of strategic investments	(239)	(4)
Other	-	1
Net cash used in investing activities	(357)	(135)
Cash flows from financing activities:		
Proceeds from long-term debt issuance, net of issuance costs	1,494	-
Proceeds from commercial paper issuance, net of discount	947	-
Proceeds from sales of common stock through employee equity plans	4	5
Repurchases of common stock	(749)	(4)
Stock repurchases for tax withholding on employee equity plans	(30)	(129)
Other	-	(1)
Net cash provided by (used in) financing activities	1,666	(129)
Net increase in cash, cash equivalents and restricted cash	2,248	257
Cash, cash equivalents and restricted cash at beginning of period	3,811	3,933
Cash, cash equivalents and restricted cash at end of period	\$ 6,059	\$ 4,190

ADVANCED MICRO DEVICES, INC.

SELECTED CORPORATE DATA

(Millions) (Unaudited)

	Three Months Ended		
	March 29, 2025	December 28, 2024	March 30, 2024
Segment and Disaggregated Revenue Information⁽¹⁾			
Net Revenue:			
Data Center Segment	\$ 3,674	\$ 3,859	\$ 2,337
Client and Gaming Segment			
Client	2,294	2,313	1,368
Gaming	647	563	922
Total Client and Gaming	2,941	2,876	2,290
Embedded Segment	823	923	846
Total net revenue	\$ 7,438	\$ 7,658	\$ 5,473
Operating Income (Loss):			
Data Center Segment	\$ 932	\$ 1,157	\$ 541
Client and Gaming Segment	496	496	237
Embedded Segment	328	362	342
All other	(950)	(1,144)	(1,084)
Total operating income	\$ 806	\$ 871	\$ 36
Other Data			
Capital expenditures	\$ 212	\$ 208	\$ 142
Adjusted EBITDA ⁽²⁾	\$ 1,954	\$ 2,212	\$ 1,295
Cash, cash equivalents and short-term investments	\$ 7,310	\$ 5,132	\$ 6,035
Free cash flow ⁽³⁾	\$ 727	\$ 1,091	\$ 379
Total assets	\$ 71,550	\$ 69,226	\$ 67,895
Total debt	\$ 4,164	\$ 1,721	\$ 2,468

See footnotes on the next page

(1) The Company operates as three operating segments, Data Center, Client and Gaming, and Embedded segments.

The Data Center segment primarily includes Artificial Intelligence (AI) accelerators, server microprocessors (CPUs), graphics processing units (GPUs), accelerated processing units (APUs), data processing units (DPUs), Field Programmable Gate Arrays (FPGAs), Smart Network Interface Cards (SmartNICs) and Adaptive System-on-Chip (SoC) products for data centers.

The Client and Gaming segment primarily includes CPUs, APUs, and chipsets for desktops and notebooks, and discrete GPUs, semi-custom SoC products and development services.

The Embedded segment primarily includes embedded CPUs, GPUs, APUs, FPGAs, System on Modules (SOMs), and Adaptive SoC products.

From time to time, the Company may also sell or license portions of its IP portfolio.

All Other category primarily includes certain expenses and credits that are not allocated to any of the operating segments, such as amortization of acquisition-related intangibles, employee stock-based compensation expense, acquisition-related and other costs, inventory loss at contract manufacturer and restructuring charges.

(2) **Reconciliation of GAAP Net Income to Adjusted EBITDA**

(Millions) (Unaudited)	Three Months Ended		
	March 29, 2025	December 28, 2024	March 30, 2024
GAAP net income	\$ 709	\$ 482	\$ 123
Interest expense	20	19	25
Other (income) expense, net	(39)	(37)	(53)
Income tax provision (benefit)	123	419	(52)
Equity income in investee	(7)	(12)	(7)
Stock-based compensation	364	339	371
Depreciation and amortization	175	186	162
Amortization of acquisition-related intangibles	567	584	622
Inventory loss at contract manufacturer	-	-	65
Acquisition-related and other costs	42	46	39
Restructuring charges	-	186	-
Adjusted EBITDA	\$ 1,954	\$ 2,212	\$ 1,295

The Company presents "Adjusted EBITDA" as a supplemental measure of its performance. Adjusted EBITDA for the Company is determined by adjusting GAAP net income for interest expense, other (income) expense, net, income tax provision (benefit), equity income in investee, stock-based compensation, depreciation and amortization expense, amortization of acquisition-related intangibles, inventory loss at contract manufacturer, acquisition-related and other costs, and restructuring charges. The Company calculates and presents Adjusted EBITDA because management believes it is of importance to investors and lenders in relation to its overall capital structure and its ability to borrow additional funds. In addition, the Company presents Adjusted EBITDA because it believes this measure assists investors in comparing its performance across reporting periods on a consistent basis by excluding items that the Company does not believe are indicative of its core operating performance. The Company's calculation of Adjusted EBITDA may or may not be consistent with the calculation of this measure by other companies in the same industry. Investors should not view Adjusted EBITDA as an alternative to the GAAP operating measure of net income or GAAP liquidity measures of cash flows from operating, investing and financing activities. In addition, Adjusted EBITDA does not take into account changes in certain assets and liabilities that can affect cash flows.

(3) **Reconciliation of GAAP Net Cash Provided by Operating Activities to Free Cash Flow**

(Millions except percentages) (Unaudited)	Three Months Ended		
	March 29, 2025	December 28, 2024	March 30, 2024
GAAP net cash provided by operating activities	\$ 939	\$ 1,299	\$ 521
Operating cash flow margin %	13%	17%	10%
Purchases of property and equipment	(212)	(208)	(142)
Free cash flow	\$ 727	\$ 1,091	\$ 379
Free cash flow margin %	10%	14%	7%

The Company also presents free cash flow as a supplemental Non-GAAP measure of its performance. Free cash flow is determined by adjusting GAAP net cash provided by operating activities for capital expenditures, and free cash flow margin % is free cash flow expressed as a percentage of the Company's net revenue. The Company calculates and communicates free cash flow in the financial earnings press release because management believes it is of importance to investors to understand the nature of these cash flows. The Company's calculation of free cash flow may or may not be consistent with the calculation of this measure by other companies in the same industry. Investors should not view free cash flow as an alternative to GAAP liquidity measures of cash flows from operating activities.

The Company has provided reconciliations within the earnings press release of these Non-GAAP financial measures to the most directly comparable GAAP financial measures.

RECONCILIATION OF GAAP TO NON-GAAP FINANCIAL MEASURES

(in millions, except per share data) (Unaudited)

	Three Months Ended		
	March 29, 2025	December 28, 2024	March 30, 2024
GAAP gross profit	\$ 3,736	\$ 3,882	\$ 2,560
<i>GAAP gross margin</i>	<i>50%</i>	<i>51%</i>	<i>47%</i>
Stock-based compensation	5	6	6
Amortization of acquisition-related intangibles	251	252	230
Inventory loss at contract manufacturer ⁽²⁾	-	-	65
Non-GAAP gross profit	\$ 3,992	\$ 4,140	\$ 2,861
<i>Non-GAAP gross margin</i>	<i>54%</i>	<i>54%</i>	<i>52%</i>
GAAP operating expenses ⁽⁴⁾	\$ 2,930	\$ 3,011	\$ 2,524
<i>GAAP operating expenses/revenue %</i>	<i>39%</i>	<i>39%</i>	<i>46%</i>
Stock-based compensation	359	333	365
Amortization of acquisition-related intangibles	316	332	392
Acquisition-related and other costs ⁽¹⁾	42	46	39
Restructuring charges ⁽³⁾	-	186	-
Non-GAAP operating expenses ⁽⁴⁾	\$ 2,213	\$ 2,114	\$ 1,728
<i>Non-GAAP operating expenses/revenue %</i>	<i>30%</i>	<i>28%</i>	<i>32%</i>
GAAP operating income	\$ 806	\$ 871	\$ 36
<i>GAAP operating margin</i>	<i>11%</i>	<i>11%</i>	<i>1%</i>
Stock-based compensation	364	339	371
Amortization of acquisition-related intangibles	567	584	622
Acquisition-related and other costs ⁽¹⁾	42	46	39
Inventory loss at contract manufacturer ⁽²⁾	-	-	65
Restructuring charges ⁽³⁾	-	186	-
Non-GAAP operating income	\$ 1,779	\$ 2,026	\$ 1,133
<i>Non-GAAP operating margin</i>	<i>24%</i>	<i>26%</i>	<i>21%</i>

	Three Months Ended					
	March 29, 2025		December 28, 2024		March 30, 2024	
GAAP net income / earnings per share	\$ 709	\$ 0.44	\$ 482	\$ 0.29	\$ 123	\$ 0.07
(Gains) losses on equity investments, net	2	-	-	-	3	-
Stock-based compensation	364	0.22	339	0.21	371	0.23
Equity income in investee	(7)	-	(12)	(0.01)	(7)	-
Amortization of acquisition-related intangibles	567	0.35	584	0.36	622	0.38
Acquisition-related and other costs ⁽¹⁾	42	0.03	46	0.03	39	0.02
Inventory loss at contract manufacturer ⁽²⁾	-	-	-	-	65	0.04
Restructuring charges ⁽³⁾	-	-	186	0.11	-	-
Income tax provision	(111)	(0.08)	152	0.10	(203)	(0.12)
Non-GAAP net income / earnings per share	\$ 1,566	\$ 0.96	\$ 1,777	\$ 1.09	\$ 1,013	\$ 0.62

⁽¹⁾ Acquisition-related and other costs primarily include transaction costs, purchase price fair value adjustments, certain compensation charges, contract termination costs and workforce rebalancing charges.

⁽²⁾ Inventory loss at contract manufacturer is related to an incident at a third-party contract manufacturing facility.

⁽³⁾ Restructuring charges are related to the 2024 Restructuring Plan which comprised of employee severance charges and non-cash asset impairments.

⁽⁴⁾ Effective first quarter of 2025, licensing gain amounts were reclassified against Marketing, general and administrative expenses as the amounts were immaterial.